



[Weekly Market Commentary](#)

Dear clients,

Currently, the risk-reward balance in crypto markets gives us relatively low confidence in a strong short-term directional view, due to the mid-summer period and lack of specific catalysts in the weeks ahead. We do remain constructive for 3Q25 overall, however, per our June Monthly Outlook.

Following the Fed's FOMC meeting this week, markets lowered the probability of a September rate cut from 68% to 42%, based on Fed funds futures. We think the focus on the jobs market during the press conference will likely put more onus on today's nonfarm payrolls data.

The US Treasury meanwhile announced it would sell the same amount of longer-term debt as the previous five quarters, setting its quarterly refunding at \$125B. However, the Treasury previously announced increases to its shorter-term debt issuance in early July, which seems to be the primary way the government is rebuilding its Treasury General Account (TGA) balance. We think more liquidity could be drained from the system in the weeks ahead.

This was a busy regulatory week. Markets overlooked the report released by the White House Working Group on Digital Asset Markets but moved on the back of the SEC's Project Crypto announcement on July 31. The latter aims to modernize securities regulations by drafting new rules for crypto asset distributions (e.g. ICOs), clarifying asset classifications (i.e. security vs commodity), and creating tailored disclosures and safe harbors to foster innovation.

Separately, the SEC this week also approved a 10x increase in the options position limit for BlackRock's iShares Bitcoin Trust ETF (IBIT) from 25k to 250k contracts. The SEC also approved in-kind creations and redemptions for spot BTC and ETH ETFs this week, replacing the previous cash-only model.

Zora surged within two weeks of the Coinbase Wallet rebrand to Base App, surpassing pump.fun briefly. We think meaningful adoption by a wider audience may be pivotal for Zora to continue its momentum.

PayPal is launching a "Pay with Crypto" option for businesses, supporting BTC, ETH, SOL, and 100+ other tokens and stablecoins.

Payments are automatically converted to fiat or PYUSD, potentially expanding PYUSD's volume, supply, and liquidity.

Finally, we just published our inaugural [Crypto Market Positioning monthly report](#), which looks at how the market is positioned in multiple crypto assets across a diverse set of instruments. Perhaps unsurprisingly, speculative positioning in the large cap crypto names has climbed sharply over the past month, evidenced by rising futures open interest, record levels of US spot ETF inflows and more net accumulation by short-term holders.

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